Business Environment & Ethics - Set 4

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

Case: The Handloom Village and the City: A village handloom cooperative is losing customers to cheaper imported fabrics and large brands. In the same period, urban software professionals see their incomes rise sharply, while rural incomes grow slowly. Critics say the reforms have benefited some regions and groups much more than others.

1. Which measure would best help the cooperative cope?
A. Closing the cooperative
B. Credit, marketing support and skill training for small units
C. Banning all imports permanently
D. Removing all taxes on large firms

Case: Nova Beverages: Nova Beverages prepared two reports. Report 1 covers changes in excise tax rates, a shift in the age profile of consumers, new bottling technology and stricter rules on plastic waste. Report 2 lists the brand's strong recognition and its weak distribution network in rural areas.

2. The change in excise tax rates is best classified as a:
A. Social factor
B. Technological factor
C. Internal factor
D. Political (fiscal policy) factor

3. The Bhopal gas tragedy of 1984 was associated with the company
A. Union Carbide
B. Hindustan Unilever
C. Tata Chemicals
D. Reliance Industries

4. Which of the following is a feature of globalisation?
A. Free flow of goods, capital and technology across borders
B. Closed borders
C. Import bans
D. Complete self-sufficiency

5. After the reforms, India's foreign exchange reserves
A. Fell to zero
B. Remained unchanged
C. Rose significantly
D. Became negative

6. An export promotion strategy aims at
A. Banning imports
B. Raising export duties
C. Giving incentives to increase exports
D. Nationalising export firms

7. Giving employees accurate information about pay and job conditions reflects
A. Cost control
B. Tax planning
C. Honest dealing with employees
D. Market research

8. Patent and copyright laws that protect inventions come under the
A. Social environment
B. Natural environment

C. Legal environment
D. Demographic environment

9. The Competition Commission of India (CCI) was set up under the
A. Companies Act, 2013
B. FEMA, 1999
C. SEBI Act, 1992
D. Competition Act, 2002

Case: Inflation Control Measures: Inflation in an economy has risen to 7 per cent. The central bank raises the repo rate. The Finance Ministry cuts excise duty on fuel to ease prices. Meanwhile, the securities market regulator tightens disclosure rules for listed companies to protect investors.

10. The body that tightens disclosure rules for listed companies in India is:
A. RBI
B. TRAI
C. IRDAI
D. SEBI

11. Which statement best summarises the impact of LPG on India?
A. It accelerated growth but also raised concerns about inequality and employment quality
B. It stopped all growth
C. It ended poverty completely
D. It had no effect on society

12. A purchase manager awarding a contract to a relative's firm without competitive bidding creates a
A. CSR activity
B. Fair trade practice
C. Conflict of interest
D. Diversification

Case: EcoWeave Textiles: EcoWeave Textiles has cut water use in dyeing, installed rooftop solar panels and sources organic cotton from farmers it supports with training. It publishes verified data on its water and energy savings every year.

13. What distinguishes EcoWeave from a greenwasher?
A. It spends more on advertising
B. Its claims are backed by genuine, verified practices
C. It avoids reporting
D. It changes its brand name often

Case: A Listed Company's Disclosures: A listed company regularly publishes its quarterly results, executive pay and related-party transactions, and explains major decisions to investors. Analysts say this has raised investor confidence. The disclosures follow the listing rules framed by the securities regulator.

14. The system by which companies are directed and controlled is:
A. Corporate governance
B. Corporate raiding
C. Cost accounting
D. Product development

15. The consumer movement helps society by
A. Increasing prices
B. Banning advertising
C. Making consumers aware of their rights and making firms more responsible
D. Reducing competition

Case: Priya's Appeal: Priya files a complaint about a faulty washing machine, but the District Commission rules against her. She believes the decision is wrong and wants to appeal. She also learns that disputes can sometimes be settled through mediation instead of a long hearing.

16. An alternative to a long hearing offered under the 2019 Act is:
A. Arbitration only by the seller
B. Appeal to SEBI

C. Mediation
D. Appeal to the RBI

17. The Rights of Persons with Disabilities Act, 2016 requires establishments to provide
A. Equal opportunity and reasonable accommodation
B. Free products
C. Tax exemption
D. Longer working hours

18. A lack of transparency in a firm's dealings is likely to lead to
A. Mistrust and higher risk of fraud
B. Greater trust
C. Lower risk
D. Better reputation

19. Which of the following is NOT an internal factor?
A. Mission and vision
B. Human resources
C. Organisational culture
D. Changes in government policy

Case: Water at the Railway Station: At a railway station, a shopkeeper sells a bottle of packaged drinking water with a printed MRP of Rs. 20 for Rs. 30, saying 'take it or leave it'. A traveller objects and says the bottle also does not show any food safety licence number.

20. Which consumer right allows the traveller to seek compensation for such practice?
A. Right to hoard
B. Right to avoid taxes
C. Right to bargain below cost
D. Right to seek redressal

21. Distributive justice is concerned with
A. Fair punishment
B. Fair procedures only
C. Fair allocation of benefits and burdens
D. Fair advertising

22. Which of the following is an argument in favour of CSR?
A. It always lowers costs
B. It avoids all taxes
C. It eliminates competition
D. It improves long-term brand image and public trust

Case: EcoWeave Textiles: EcoWeave Textiles has cut water use in dyeing, installed rooftop solar panels and sources organic cotton from farmers it supports with training. It publishes verified data on its water and energy savings every year.

23. In the Triple Bottom Line, these actions belong most closely to:
A. Planet
B. Profit only
C. Price
D. Promotion

24. Fair competition means competing
A. By any means
B. By hiding information
C. Without deception, collusion or abuse of power
D. By bribing officials

25. Dismissing employees for joining a trade union is an
A. Fair labour practice
B. Management right
C. Legal necessity
D. Unfair labour practice

Case: Anil's Overheating Phone: Anil buys a Rs. 40,000 phone through an online marketplace. After two weeks the phone overheats and catches fire, causing him minor burns. The seller refuses a refund and blames the manufacturer. Anil decides to take legal action under the consumer law in force.

26. The concept that makes the manufacturer or seller answerable for harm from a defective product is:
A. Caveat emptor
B. Consumer apathy
C. Product liability
D. Brand loyalty

27. Reforms accelerated social changes such as
A. Return of people to villages
B. Urbanisation and rural-urban migration
C. Abolition of cities
D. Closure of schools

28. Converting illegally obtained money into apparently legitimate funds is called
A. Disinvestment
B. Factoring
C. Hedging
D. Money laundering

29. ESG stands for
A. Economic, Social and Growth
B. Ethical, Strategic and Global
C. Energy, Sales and Growth
D. Environmental, Social and Governance

30. In ethics, one party's right generally corresponds to
A. Another party's profit
B. Another party's duty
C. Another party's tax
D. No one's duty

31. A consumer complaint can be filed in case of
A. A rise in market prices
B. A change in government policy
C. Defective goods, deficient services or unfair trade practices
D. Advertising by the government

32. A unique strength that gives a firm a lasting competitive advantage is called its
A. Core deficit
B. Peripheral skill
C. Market failure
D. Core competence

Case: Banking and Tax Reforms: After 1991, private banks were allowed to enter the sector, banking rules were relaxed on the recommendations of a high-level committee, customs duties were reduced and tax rates were simplified. Domestic firms found that imported goods became cheaper and competition increased.

33. The reduction of customs duties is part of:
A. Trade liberalisation
B. Nationalisation
C. Import substitution
D. Licensing

34. Which of the following is a violation of honesty?
A. Concealing a known defect in a product from customers
B. Recalling a defective product
C. Publishing accurate accounts
D. Giving a genuine warranty

35. The Audit Committee of the board mainly oversees
A. Financial reporting and internal controls
B. Product design
C. Sales promotion
D. Recruitment

36. Bonded labour in India was abolished by the
A. Bonded Labour System (Abolition) Act, 1976
B. Factories Act
C. Trade Unions Act
D. Companies Act

37. Privatisation means
A. Transfer of ownership or management of public sector enterprises to the private sector
B. Transfer of private firms to the government
C. Opening of new government companies
D. Closing all private firms

Case: Greenleaf Stationery, Thrissur: Greenleaf Stationery is a small shop near several schools. Its main customers are the schools; its paper wholesaler is its key supplier; and an online seller is a new competitor. The owner has also noticed that a change in GST rates altered prices, a national slowdown cut household spending, and the growth of digital learning is reducing paper use.

38. The growth of digital learning that reduces paper use is mainly a:
A. Technological and social trend in the macro environment
B. Internal managerial decision
C. Supplier-related micro factor
D. Competitor-related micro factor

39. A rising proportion of young people in India's population offers firms
A. No market opportunity
B. A large consumer and workforce base
C. Only threats
D. A reason to stop investing

Case: SafeBrake's Defective Batch: A quality inspector at SafeBrake Ltd finds that a batch of brake parts is defective. His manager tells him to ship the batch anyway to meet a deadline. The inspector reports the matter through the company's vigil mechanism and the batch is stopped.

40. The inspector's act of reporting is known as:
A. Insider trading
B. Price fixing
C. Whistle-blowing
D. Dumping

41. The principle placing responsibility for product quality on the seller is
A. Caveat emptor
B. Laissez-faire
C. Ad valorem
D. Caveat venditor

42. The UN Guiding Principles on Business and Human Rights (2011) are built on the framework of
A. Plan, Do and Check
B. Protect, Respect and Remedy
C. Buy, Hold and Sell
D. Hire, Train and Retain

43. Globalisation means
A. Nationalisation of industries
B. Closing of borders
C. Increase in government control
D. Integration of the domestic economy with the world economy

44. An appeal against an order of the District Commission lies with the

A. Supreme Court directly
B. High Court directly
C. CCPA
D. State Commission

Case: Coastal Cements and the Fishing Village: Coastal Cements built a plant near a fishing village. The company trains local youth in technical skills, funds a primary health centre and publishes an annual social audit of its impact on the community. Villagers now support the plant, and its leaders say this goodwill has helped the plant run smoothly.

45. The long-term benefit of these actions for the company is mainly:

A. Zero tax liability
B. Goodwill and community support for its operations
C. Monopoly in cement
D. Freedom from all regulation

46. Which of the following is a social factor?

A. Changing lifestyles and customs
B. Tax rate
C. Patent law
D. Carbon emission norms

47. Socialist and communist thought is most closely associated with

A. Adam Smith
B. Karl Marx
C. Milton Friedman
D. Alfred Marshall

48. Firms that sell similar or substitute products to the same customers are the firm's

A. Competitors
B. Suppliers
C. Intermediaries
D. Regulators

Case: Prices and Growth Figures: Vegetable prices in a country rose by 12 per cent over the year, while the general price level rose by 7 per cent. During the same period, the value of all final goods and services produced within the country grew by 6.5 per cent. The central bank is considering raising the repo rate.

49. Why would a rise in vegetable prices alone not by itself be called inflation?

A. Vegetables are not goods
B. Inflation applies only to imports
C. Inflation refers to a sustained rise in the general price level, not a single item
D. Prices of food can never change

50. In the Indian economic context, LPG stands for

A. Liquefied Petroleum Gas
B. Labour, Production and Growth
C. Liberalisation, Privatisation and Globalisation
D. Licensing, Planning and Governance

Answer key - Set 4

1. **B**	11. **A**	21. **C**	31. **C**	41. **D**
2. **D**	12. **C**	22. **D**	32. **D**	42. **B**
3. **A**	13. **B**	23. **A**	33. **A**	43. **D**
4. **A**	14. **A**	24. **C**	34. **A**	44. **D**
5. **C**	15. **C**	25. **D**	35. **A**	45. **B**
6. **C**	16. **C**	26. **C**	36. **A**	46. **A**
7. **C**	17. **A**	27. **B**	37. **A**	47. **B**
8. **C**	18. **A**	28. **D**	38. **A**	48. **A**
9. **D**	19. **D**	29. **D**	39. **B**	49. **C**
10. **D**	20. **D**	30. **B**	40. **C**	50. **C**

Answers with explanations

1. Which measure would best help the cooperative cope?

Answer: B. Credit, marketing support and skill training for small units

Why correct: Credit, marketing support and skill training help small units survive.

A is wrong: Closing the cooperative gives up.

C is wrong: Banning imports permanently is impractical.

D is wrong: Removing taxes on large firms helps the competitors.

2. The change in excise tax rates is best classified as a:

Answer: D. Political (fiscal policy) factor

Why correct: Excise tax is a government fiscal policy - political.

A is wrong: It is not social.

B is wrong: It is not technological.

C is wrong: It is not internal.

3. The Bhopal gas tragedy of 1984 was associated with the company

Answer: A. Union Carbide

Why correct: The Bhopal gas tragedy was at Union Carbide's plant.

B is wrong: Hindustan Unilever was not involved.

C is wrong: Tata Chemicals was not involved.

D is wrong: Reliance was not involved.

4. Which of the following is a feature of globalisation?

Answer: A. Free flow of goods, capital and technology across borders

Why correct: Globalisation means free flow of goods, capital and technology across borders.

B is wrong: Closed borders is the opposite.

C is wrong: Import bans are the opposite.

D is wrong: Self-sufficiency is the opposite.

5. After the reforms, India's foreign exchange reserves

Answer: C. Rose significantly

Why correct: Reserves rose significantly after the reforms.

A is wrong: They did not fall to zero.

B is wrong: They did not stay unchanged.

D is wrong: They did not become negative.

6. An export promotion strategy aims at

Answer: C. Giving incentives to increase exports

Why correct: Export promotion gives incentives to increase exports.

A is wrong: It is not about banning imports.

B is wrong: Higher export duties discourage exports.

D is wrong: Nationalising firms is not the strategy.

7. Giving employees accurate information about pay and job conditions reflects

Answer: C. Honest dealing with employees

Why correct: Accurate information on pay and conditions is honest dealing with employees.

A is wrong: Cost control is saving.

B is wrong: Tax planning is finance.

D is wrong: Market research studies customers.

8. Patent and copyright laws that protect inventions come under the

Answer: C. Legal environment

Why correct: Patents and copyrights are protected by law: legal environment.

A is wrong: Social is culture.

B is wrong: Natural is nature.

D is wrong: Demographic is population.

9. The Competition Commission of India (CCI) was set up under the

Answer: D. Competition Act, 2002

Why correct: CCI was set up under the Competition Act, 2002.

A is wrong: The Companies Act governs companies.

B is wrong: FEMA governs foreign exchange.

C is wrong: SEBI Act governs securities.

10. The body that tightens disclosure rules for listed companies in India is:

Answer: D. SEBI

Why correct: SEBI regulates listed companies and securities.

A is wrong: RBI regulates banks.

B is wrong: TRAI regulates telecom.

C is wrong: IRDAI regulates insurance.

11. Which statement best summarises the impact of LPG on India?

Answer: A. It accelerated growth but also raised concerns about inequality and employment quality

Why correct: LPG speeded growth but raised concerns about inequality and job quality.

B is wrong: Growth did not stop.

C is wrong: Poverty was not fully ended.

D is wrong: It had a large effect on society.

12. A purchase manager awarding a contract to a relative's firm without competitive bidding creates a

Answer: C. Conflict of interest

Why correct: Favouring a relative's firm creates a conflict of interest.

A is wrong: CSR is social spending.

B is wrong: Fair trade is ethical sourcing.

D is wrong: Diversification is business expansion.

13. What distinguishes EcoWeave from a greenwasher?

Answer: B. Its claims are backed by genuine, verified practices

Why correct: EcoWeave's claims are backed by genuine, verified practices; greenwashers only claim.

A is wrong: More advertising spend does not prove it.

C is wrong: Avoiding reporting would hide facts.

D is wrong: Changing names is a greenwashing sign.

14. The system by which companies are directed and controlled is:

Answer: A. Corporate governance

Why correct: Corporate governance is the system by which companies are directed and controlled.

B is wrong: Corporate raiding is hostile takeover.

C is wrong: Cost accounting measures costs.

D is wrong: Product development creates products.

15. The consumer movement helps society by

Answer: C. Making consumers aware of their rights and making firms more responsible

Why correct: The movement makes consumers aware and firms more responsible.

A is wrong: It does not aim at higher prices.

B is wrong: It does not ban advertising.

D is wrong: It does not aim to reduce competition.

16. An alternative to a long hearing offered under the 2019 Act is:

Answer: C. Mediation

Why correct: The 2019 Act offers mediation as an alternative.

A is wrong: Arbitration by the seller is biased.

B is wrong: SEBI handles securities.

D is wrong: RBI handles banks.

17. The Rights of Persons with Disabilities Act, 2016 requires establishments to provide

Answer: A. Equal opportunity and reasonable accommodation

Why correct: The RPwD Act requires equal opportunity and reasonable accommodation.

B is wrong: Free products are not required.

C is wrong: Tax exemption is not required.

D is wrong: Longer hours are not required.

18. A lack of transparency in a firm's dealings is likely to lead to

Answer: A. Mistrust and higher risk of fraud

Why correct: Lack of transparency breeds mistrust and fraud risk.

B is wrong: It does not build trust.

C is wrong: It raises risk.

D is wrong: It harms reputation.

19. Which of the following is NOT an internal factor?

Answer: D. Changes in government policy

Why correct: Changes in government policy come from outside.

A is wrong: Mission and vision are internal.

B is wrong: Human resources are internal.

C is wrong: Culture is internal.

20. Which consumer right allows the traveller to seek compensation for such practice?

Answer: D. Right to seek redressal

Why correct: The right to seek redressal allows compensation.

A is wrong: No right to hoard exists.

B is wrong: No right to avoid taxes exists.

C is wrong: No right to bargain below cost exists.

21. Distributive justice is concerned with

Answer: C. Fair allocation of benefits and burdens

Why correct: Distributive justice is the fair allocation of benefits and burdens.

A is wrong: Fair punishment is retributive.

B is wrong: Fair procedures is procedural.

D is wrong: Advertising is unrelated.

22. Which of the following is an argument in favour of CSR?

Answer: D. It improves long-term brand image and public trust

Why correct: CSR improves long-term brand image and public trust.

A is wrong: It does not always lower costs.

B is wrong: It does not avoid taxes.

C is wrong: It does not remove competition.

23. In the Triple Bottom Line, these actions belong most closely to:

Answer: A. Planet

Why correct: Environmental actions fall under 'Planet' in the Triple Bottom Line.

B is wrong: Profit-only is not planet.

C is wrong: Price is a marketing P.

D is wrong: Promotion is a marketing P.

24. Fair competition means competing

Answer: C. Without deception, collusion or abuse of power

Why correct: Fair competition avoids deception, collusion and abuse of power.

A is wrong: 'By any means' is unfair.

B is wrong: Hiding information is unfair.

D is wrong: Bribery is unfair.

25. Dismissing employees for joining a trade union is an

Answer: D. Unfair labour practice

Why correct: Dismissal for joining a union is an unfair labour practice.

A is wrong: It is not fair.

B is wrong: It is not a management right.

C is wrong: It is not legally necessary.

26. The concept that makes the manufacturer or seller answerable for harm from a defective product is:

Answer: C. Product liability

Why correct: Product liability makes the maker or seller answerable for harm from a defective product.

A is wrong: Caveat emptor puts risk on the buyer.

B is wrong: Consumer apathy is indifference.

D is wrong: Brand loyalty is preference.

27. Reforms accelerated social changes such as

Answer: B. Urbanisation and rural-urban migration

Why correct: Reforms accelerated urbanisation and migration to cities.

A is wrong: People moved to cities, not back.

C is wrong: Cities grew.

D is wrong: Schools did not close.

28. Converting illegally obtained money into apparently legitimate funds is called

Answer: D. Money laundering

Why correct: Making illegal money look legitimate is money laundering.

A is wrong: Disinvestment is selling stake.

B is wrong: Factoring is selling receivables.

C is wrong: Hedging reduces risk.

29. ESG stands for

Answer: D. Environmental, Social and Governance

Why correct: ESG = Environmental, Social and Governance.

A is wrong: 'Economic' and 'Growth' are not in ESG.

B is wrong: 'Ethical, Strategic, Global' is not ESG.

C is wrong: 'Energy, Sales, Growth' is not ESG.

30. In ethics, one party's right generally corresponds to

Answer: B. Another party's duty

Why correct: One party's right usually corresponds to another party's duty.

A is wrong: It is not a profit.

C is wrong: It is not a tax.

D is wrong: A right implies a duty on someone.

31. A consumer complaint can be filed in case of

Answer: C. Defective goods, deficient services or unfair trade practices

Why correct: Complaints can be filed for defective goods, deficient service and unfair trade practices.

A is wrong: Price rises are not complaints.

B is wrong: Policy changes are not complaints.

D is wrong: Government advertising is not covered.

32. A unique strength that gives a firm a lasting competitive advantage is called its

Answer: D. Core competence

Why correct: A unique, lasting strength is a core competence.

A is wrong: 'Core deficit' is not a term.

B is wrong: Peripheral skill is not lasting advantage.

C is wrong: Market failure is an economic problem.

33. The reduction of customs duties is part of:

Answer: A. Trade liberalisation

Why correct: Cutting customs duties is trade liberalisation.

B is wrong: Nationalisation is state takeover.

C is wrong: Import substitution protects local industry.

D is wrong: Licensing is control.

34. Which of the following is a violation of honesty?

Answer: A. Concealing a known defect in a product from customers

Why correct: Hiding a known defect deceives customers - dishonest.

B is wrong: A recall is honest.

C is wrong: Accurate accounts are honest.

D is wrong: A genuine warranty is honest.

35. The Audit Committee of the board mainly oversees

Answer: A. Financial reporting and internal controls

Why correct: The Audit Committee oversees financial reporting and internal controls.

B is wrong: Product design is operations.

C is wrong: Sales promotion is marketing.

D is wrong: Recruitment is HR.

36. Bonded labour in India was abolished by the

Answer: A. Bonded Labour System (Abolition) Act, 1976

Why correct: The Bonded Labour System (Abolition) Act, 1976 abolished bonded labour.

B is wrong: The Factories Act covers safety.

C is wrong: The Trade Unions Act covers unions.

D is wrong: The Companies Act covers companies.

37. Privatisation means

Answer: A. Transfer of ownership or management of public sector enterprises to the private sector

Why correct: Privatisation transfers ownership or management of PSUs to the private sector.

B is wrong: That is nationalisation.

C is wrong: That is not privatisation.

D is wrong: Closing firms is not it.

38. The growth of digital learning that reduces paper use is mainly a:

Answer: A. Technological and social trend in the macro environment

Why correct: Digital learning is a technological and social trend in the macro environment.

B is wrong: It is not the owner's decision.

C is wrong: It is not a supplier factor.

D is wrong: It is not a competitor factor.

39. A rising proportion of young people in India's population offers firms

Answer: B. A large consumer and workforce base

Why correct: A young population gives a large consumer and workforce base.

A is wrong: It does offer opportunity.

C is wrong: It is not only a threat.

D is wrong: It is a reason to invest.

40. The inspector's act of reporting is known as:

Answer: C. Whistle-blowing

Why correct: Reporting a wrong inside the firm is whistle-blowing.

A is wrong: Insider trading uses secret information.

B is wrong: Price fixing is collusion.

D is wrong: Dumping is selling below cost.

41. The principle placing responsibility for product quality on the seller is

Answer: D. Caveat venditor

Why correct: Caveat venditor puts responsibility for quality on the seller.

A is wrong: Caveat emptor puts it on the buyer.

B is wrong: Laissez-faire is non-interference.

C is wrong: Ad valorem means by value.

42. The UN Guiding Principles on Business and Human Rights (2011) are built on the framework of

Answer: B. Protect, Respect and Remedy

Why correct: UNGPs rest on the framework 'Protect, Respect and Remedy'.

A is wrong: Plan-Do-Check is quality management.

C is wrong: Buy-Hold-Sell is investing.

D is wrong: Hire-Train-Retain is HR.

43. Globalisation means

Answer: D. Integration of the domestic economy with the world economy

Why correct: Globalisation integrates the domestic economy with the world economy.

A is wrong: Nationalisation is a different policy.

B is wrong: Closing borders is the opposite.

C is wrong: More government control is the opposite.

44. An appeal against an order of the District Commission lies with the

Answer: D. State Commission

Why correct: Appeals from the District Commission go to the State Commission.

A is wrong: The Supreme Court is not the first appeal.

B is wrong: The High Court is not the first appeal.

C is wrong: CCPA is a regulator.

45. The long-term benefit of these actions for the company is mainly:

Answer: B. Goodwill and community support for its operations

Why correct: The main long-term benefit is goodwill and community support.

A is wrong: CSR gives no tax-free status.

C is wrong: It gives no monopoly.

D is wrong: It gives no freedom from regulation.

46. Which of the following is a social factor?

Answer: A. Changing lifestyles and customs

Why correct: Lifestyles and customs are social factors.

B is wrong: Tax rate is economic/legal.

C is wrong: Patent law is legal.

D is wrong: Emission norms are environmental.

47. Socialist and communist thought is most closely associated with

Answer: B. Karl Marx

Why correct: Karl Marx is the thinker behind socialist and communist thought.

A is wrong: Smith supported free markets.

C is wrong: Friedman supported free markets.

D is wrong: Marshall wrote neoclassical economics.

48. Firms that sell similar or substitute products to the same customers are the firm's

Answer: A. Competitors

Why correct: Firms selling similar products to the same customers are competitors.

B is wrong: Suppliers provide inputs.

C is wrong: Intermediaries carry goods.

D is wrong: Regulators make rules.

49. Why would a rise in vegetable prices alone not by itself be called inflation?

Answer: C. Inflation refers to a sustained rise in the general price level, not a single item

Why correct: Inflation means a sustained rise in the general price level, not one item.

A is wrong: Vegetables are goods.

B is wrong: Inflation is not only for imports.

D is wrong: Food prices can change.

50. In the Indian economic context, LPG stands for

Answer: C. Liberalisation, Privatisation and Globalisation

Why correct: LPG = Liberalisation, Privatisation, Globalisation.

A is wrong: Liquefied Petroleum Gas is cooking fuel.

B is wrong: Labour, Production, Growth is not it.

D is wrong: Licensing, Planning, Governance is not it.